

Axion — Renewable Energy Tax Research

Trigger 9 | APC 2026 September Qualifying Exam | Axion Digital Infrastructure (Pty) Ltd | Document 7, page 18

Left column, black — the legislation, paraphrased. **Right column** — **applied to Axion, in blue, with a worked number**.

[WAITING FOR INPUT — information on the day] marks a missing fact. The law is still applied on an assumed figure, so on the day you replace one number and the answer falls out.

Sections A to J cover **Document 7**. Section K covers the tax consequences arising from the **other pre-release documents**.

Rate card — verified, current for the 2026/27 year

Item	Rate	Note
Corporate income tax	27%	Years ending on or after 31 March 2023. Unchanged in the February 2026 Budget
Dividends tax	20%	Unchanged
CGT inclusion rate — company	80%	Effective CGT rate 21.6%
VAT	15%	Standard rate
s12B — renewable plant	50 / 30 / 20	Over three years. Not apportioned
s12B — PV solar not exceeding 1MW	100%	Full write-off in year brought into use
s12BA — enhanced allowance	125%	EXPIRED . Brought into use before 1 March 2025 only
s12U — roads and fences	100%	In year incurred. Only where generation exceeds 5MW
s12L — energy efficiency	95c per kWh	Verified savings. Extended to 31 December 2030
s12C — manufacturing plant	40 / 20 / 20 / 20	Not relevant to Axion — see Table 7
s13quin — commercial buildings	5%	New and unused buildings and improvements
s20 — assessed loss set-off	Higher of R1m or 80%	Of taxable income

Decision tree — answer these five before you write

	Question	Where it takes you
1	Who owns the generation plant?	• Axion owns → Axion claims s12B, s12U, s12L. Tables 1–5. • Partnership or joint operation → s24H, Axion claims its share. Table 14. • Separate company or PPA only → Axion claims no allowance, only s11(a) on electricity bought. Tables 9 and 14.
2	What capacity in MW, and what technology?	• PV solar ≤ 1MW → 100% under s12B. Above 1MW, wind, CSP, hydro ≤ 30MW, biomass → 50/30/20. • Generation exceeds 5MW → s12U also available. Below 5MW it is not. • Hydro above 30MW → outside s12B entirely → s11(e), Table 6.
3	When is it brought into use, against 30 June?	• No apportionment. A day either side of year end moves the whole first-year allowance. Quantify it. • If the grid connection delays commissioning, no allowance arises at all until the asset is brought into use.
4	Is the asset new and unused?	• s12B does not require this — second-hand qualifies. s12BA did, but it has expired.
5	Is there taxable income to absorb it?	• FY2026 profit before tax was R325m, so on the face of it yes. A large first-year allowance can still create an assessed loss →

	Question	Where it takes you
		s20, Table 15.

Assumed facts used throughout

These numbers are invented. The pre-release gives no capacity, cost or structure for any renewable option. They exist so every example connects to the same facts. Project X. Off-site solar PV, 30MW. Plant R450m. Roads and perimeter fencing R25m. Grid connection R60m. Land R15m. Brought into use 1 May 2027, i.e. FY2027. Axion taxable income before the project: R350m. Asset Y. 800kW rooftop PV at Johannesburg 1, new and unused, cost R18m, brought into use 1 October 2024.
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A. The renewable-specific allowances

Table 1 — Section 12B: renewable energy plant

Legislation — what the Act says	Application to Axion — tax consequences
• s12B(1)(h). Deduction for machinery, plant, implement, utensil or article which is: • — owned by the taxpayer, or acquired as purchaser under an instalment credit agreement; • — brought into use for the first time by that taxpayer; • — for the purposes of that taxpayer's trade; • — used in the generation of electricity from a specified renewable source. • Specified sources: wind; photovoltaic solar; concentrated solar; hydropower not exceeding 30MW; biomass. • Rate — 50 / 30 / 20 over three years for wind, PV solar above 1MW, concentrated solar, hydro ≤ 30MW and biomass. • Rate — 100% in year one for PV solar not exceeding 1MW. • Not apportioned for part of a year. • Cost base: acquisition cost, plus erection, installation and construction, plus any foundation or supporting structure to which the asset is affixed. • Extends to improvements (not repairs). Asset need not be new and unused.	• Of the three Document 7 routes, only direct investment in generation triggers s12B. A PPA gives Axion no asset. Wheeling gives Axion no asset unless it owns the off-site plant. • [WAITING FOR INPUT — information on the day]: capacity in MW, technology, plant cost, ownership, date brought into use. • Project X. 30MW PV is above 1MW, so 50/30/20 applies, not 100%. Plant of R450m qualifies. The R60m grid connection qualifies only if it forms part of the plant — Table 4. Land never qualifies. • Worked example — Axion owns directly: • FY2027: $R450m \times 50\% = R225.0m$ · tax at 27% = R60.75m • FY2028: $R450m \times 30\% = R135.0m$ · tax = R36.45m • FY2029: $R450m \times 20\% = R90.0m$ · tax = R24.30m • Total allowances R450m; total tax benefit R121.5m. • No apportionment, quantified. Brought into use 1 May 2027 gives the full R225m in FY2027. Slip to 1 July 2027 and the whole R225m moves to FY2028, deferring R60.75m of cash tax by a year. That is a concrete recommendation on commissioning timing. • Contrast Asset Y. 800kW is not exceeding 1MW, so s12B would give 100% of R18m in FY2025 — R18m deduction, R4.86m of tax, in one year.

Table 2 — Section 12BA: the enhanced 125% allowance (EXPIRED)

Legislation — what the Act says	Application to Axion — tax consequences
• 125% of cost, deducted in full in the year brought into use. • Asset must be new and unused, owned, brought into use for the first time for the taxpayer's trade, and used to generate electricity from the same sources as s12B. • No capacity threshold — unlike s12B's 30MW hydro limit. • Not apportioned. Cost base: acquisition, installation and erection, plus foundation or supporting structure. • Only for assets brought into use on or after 1 March 2023 and before 1 March 2025. Not renewed. • s12B and s12BA are mutually exclusive for the same asset. • Recoupment — s8(4)(nA): disposal before 1 March 2026 → if proceeds ≥ cost, full 125% into income; if proceeds < cost, 125% of proceeds. Disposal on or after 1 March 2026 → lesser of proceeds and the allowance.	• Not available for any new project. The window closed 28 February 2025; anything from Document 7 is FY2027 at the earliest. State that it has expired rather than claiming it. • But it may already sit in an earlier computation. [WAITING FOR INPUT]: when was the existing on-site solar brought into use, and what was claimed? • Worked example — Asset Y, brought into use 1 October 2024, inside the window: • $R18m \times 125\% = R22.5m$ deduction in FY2025 · tax at 27% = R6.075m • Against s12B at 100%: R18m deduction, R4.86m. The enhanced allowance was worth an extra R1.215m. • The extra 25% (R4.5m) is a permanent difference — total deductions exceed cost. It reduced the FY2025 effective rate and is a reconciling item, not deferred tax. • Disposal of Asset Y — the date decides the answer. Assume sold for R15m, below cost of R18m: • Before 1 March 2026 → recoup $125\% \times R15m = R18.75m$ · tax R5.06m • On or after 1 March 2026 → recoup the lesser of R15m and R22.5m = R15.0m · tax R4.05m • Axion's FY2026 ended 30 June 2026, after 1 March 2026, so the milder rule applies to any disposal now.

Table 3 — Section 12U: roads and fences

Legislation — what the Act says	Application to Axion — tax consequences
- In force from 1 April 2016, covering supporting infrastructure that s12B does not. 100% write-off in the year incurred of expenditure on: the construction of any road; the erection of any fence; a foundation or supporting structure designed for such a fence; and improvements to any of these. - Available only where the taxpayer's trade is generating electricity exceeding 5MW from solar or wind, hydro not exceeding 30MW, or biomass. Scope limit. s12U does not cover transmission lines, substations or grid connection infrastructure.	A threshold provision, and the pre-release gives no capacity. [WAITING FOR INPUT]: capacity in MW. Below 5MW, s12U is simply unavailable and you must say so. Project X. 30MW exceeds 5MW, so s12U covers the R25m of roads and fencing. Worked example: $R25m \times 100\%$ in FY2027 = R25.0m · tax at 27% = R6.75m, all in year one. Do not sweep the grid connection in here. Document 7 refers to "supporting transmission and distribution infrastructure", so the cost is real and potentially large. It is outside s12U and must be analysed separately — Table 4.

Table 4 — The grid connection and transmission infrastructure

Legislation — the options, in order	Application to Axion — tax consequences
First — s12B. Is it "machinery, plant, implement, utensil or article" used in the generation of electricity? A transformer, inverter or switchgear integral to generating forms part of the qualifying plant. The cost base expressly includes foundations and supporting structures. Second — s12U. Only a road, a fence, or a foundation for a fence. A transmission line is none of these. Third — s13quin. 5% a year if it is a new and unused building or improvement used wholly or mainly in producing income in the course of trade. A substation building could fall here. Fourth — s11(e). Wear and tear where no specific allowance applies. Apportioned for part of a year. Write-off periods in Interpretation Note 47. If none apply: capital, no allowance, and it goes to base cost for CGT.	[WAITING FOR INPUT]: the cost split between plant, roads and fences, transmission and connection infrastructure, buildings and land. Make this your first information request on this trigger. Project X — R60m grid connection. Work the order and show the reasoning: Transformers and switchgear integral to generation → s12B → FY2027 deduction R30m · tax R8.1m A substation building → s13quin → FY2027 deduction R3m · tax R0.81m A transmission line with no specific allowance → s11(e), apportioned. On a 20-year period and 2 months of use: $R60m \div 20 \times 2/12 = R0.5m$ · tax R0.135m R8.1m against R0.135m of first-year tax on the same R60m. That is why the split matters, and why a range with reasons is the right answer until you have it. Land of R15m: no allowance under any section — base cost only.

Table 5 — Section 12L: energy efficiency savings

Legislation — what the Act says	Application to Axion — tax consequences
- Deduction for verified energy efficiency savings achieved in the year of assessment. - Computed at 95 cents per kilowatt-hour (or kWh equivalent) saved. - Requires measurement and verification by a SANAS-accredited M&V body and a certificate issued by SANEDI. No certificate, no deduction. - Savings are measured against a baseline, which must be established before the intervention. Sunset extended from 31 December 2025 to 31 December 2030 — the incentive is available.	The one incentive that applies to the existing five facilities, not only to a new project. It rewards using less electricity rather than generating it, so it sits alongside the renewable options rather than competing with them. - Electricity is one of Axion's most significant operating costs (Document 7), data centres measure efficiency continuously, and the AI-enabled maintenance tool piloted at Johannesburg 1 is an intervention of exactly this kind. [WAITING FOR INPUT]: has Axion claimed s12L before; is a measured baseline in place; are efficiency projects planned? Worked example. A cooling optimisation saving 3 000 000 kWh in FY2027: $3\,000\,000\text{ kWh} \times 95c = \mathbf{R2.85m}$ deduction · tax at 27% = R769 500 - Modest against s12B, but it recurs annually while the savings persist and needs no capital. Practical caution: no retrospective claim. Without M&V and SANEDI certification there is no deduction, however real the saving.

B. Other capital allowances

Table 6 — Section 11(e): wear and tear

Legislation — what the Act says	Application to Axion — tax consequences
- Deduction for wear and tear of machinery, plant, implements, utensils and articles owned by the taxpayer, or acquired under an instalment credit agreement, and used for the purposes of trade. - Applies where no other specific allowance applies — it is the residual provision. Apportioned for part of a year, unlike s12B, s12BA and s12C. - Write-off periods in Interpretation Note 47, or a shorter period the taxpayer can justify. - Excludes buildings and structures of a permanent nature.	The default for most of Axion's asset base — cooling plant, UPS and batteries, backup generators, network and security equipment — where no specific section applies. The apportionment difference is worth a sentence. Under s12B, commissioning on 29 June gives a full 50%. Under s11(e), the same date gives about one month. Two assets commissioned on the same day can produce very different first-year deductions. Worked example — the R60m transmission line if it falls here. On a 20-year period and 2 of 12 months in FY2027: $R60m \div 20 \times 2/12 = R500\ 000$ · tax at 27% = R135 000, against R8.1m under s12B. [WAITING FOR INPUT]: the nature of the connection asset and the IN47 write-off period.

Table 7 — Section 12C: plant used in a process of manufacture

Legislation — what the Act says	Application to Axion — tax consequences
40 / 20 / 20 / 20 over four years for new and unused machinery or plant used directly in a process of manufacture or similar process. 20% over five years for used or second-hand qualifying plant. Not apportioned.	Rule it out, and say why. Axion provides colocation and interconnection services — it houses and powers other people's computing equipment. It carries on no process of manufacture, so s12C applies to none of its assets. One clear sentence disposes of it. Do not argue that data processing is manufacture. A wrong technical claim costs more than an omitted one.

Table 8 — Section 13quin: commercial buildings

Legislation — what the Act says	Application to Axion — tax consequences
5% per year of the cost of any new and unused building, or new and unused improvement to a building, owned by the taxpayer. - The building must be used wholly or mainly for producing income in the course of a trade, other than residential accommodation. - Special rules apply where a building or part of one is acquired from another person rather than constructed. - Land is excluded — the allowance is on the building only.	- Relevant to Document 7 where part of the project cost is a substation or plant-room building rather than plant — see Table 4. Worked example. A R900m data centre building brought into use in FY2027: $R900m \times 5\% = R45m$ a year · tax at 27% = R12.15m a year, for 20 years. The contrast a good answer draws. The building gets 5% a year over 20 years; the renewable plant inside gets 50% in year one. The same rand spent on generation plant rather than on building shell produces a far more front-loaded deduction. JHB4 is the live s13quin asset, and it comes from Document 6 — see Table 21 in Section K, including the phased bring-into-service question.

C. Operating deductions and finance costs

Table 9 — Section 11(a): the general deduction formula

Legislation — what the Act says	Application to Axion — tax consequences
- Deduction for expenditure and losses actually incurred in the Republic in the production of income, provided they are not of a capital nature. - Read with s23(g) — only to the extent laid out for the purposes of trade. "Actually incurred" means an unconditional legal obligation has arisen, not that payment has been made.	The only deduction Axion gets on the PPA route. No asset, no allowance — just the cost of electricity as incurred. That is the single most important tax difference between buying and building. Also covers wheeling charges, network charges and transmission losses borne by Axion, and the electricity it already buys from the grid. Worked example — the PPA route on Project X economics. Assume a PPA price of R88m a year: - FY2027 deduction R88m · tax at 27% = R23.76m, and the same

Legislation — what the Act says	Application to Axion — tax consequences
	every year of the contract. • Against owning: R250m of deductions in FY2027 (s12B R225m + s12U R25m), tax R67.5m — but they run out after three years, while the PPA deduction continues for the life of the contract. The tax shield is front-loaded on ownership and level on a PPA. That is the shape of the answer, not just its size. • Onerous commitment. Document 7 warns that purchase commitments may begin before the new facility is fully utilised. Electricity paid for but not used remains deductible, but it is a real cash cost — flag it commercially as well as technically.

Table 10 — Section 11(d): repairs

Legislation — what the Act says	Application to Axion — tax consequences
• Deduction for expenditure on repairs to property occupied for trade or from which income is derived, including machinery and plant used for trade. • A repair restores an asset to its former condition. An improvement creates a better asset and is capital — no s11(d) deduction.	• Routine maintenance of generation plant, cooling equipment and generators is deductible. • Draw the line explicitly. Replacing failed solar panels with equivalent panels is a repair, deductible in full. Replacing them with higher-output panels is an improvement — capital, and it goes to s12B, which expressly covers improvements to a qualifying asset. • The AI maintenance tool (Document 7) connects here. Shifting from reactive replacement to preventative maintenance moves spend from capitalised replacement into deductible repairs — a genuine tax consequence of an operational decision.

Table 11 — Section 24J: interest

Legislation — what the Act says	Application to Axion — tax consequences
• Interest is incurred and accrued on a yield-to-maturity basis over the term of the instrument, regardless of when it is paid. • The tax treatment is independent of the accounting treatment. Interest capitalised into the cost of an asset for accounting is still deducted for tax as incurred, unless another provision prevents it.	• Worked example — project debt on Project X. Assume R300m of the R450m plant is debt-funded at 11%, drawn for 8 months of FY2027: • $R300m \times 11\% \times 8/12 = \mathbf{R22m}$ interest incurred · deductible under s24J · tax at 27% = R5.94m • The double-count trap. If that R22m is capitalised into the asset for accounting, it is not in accounting profit but is deducted for tax — and if it is also included in the s12B cost base it is relieved twice. [WAITING FOR INPUT]: confirm whether capitalised interest is in the s12B cost base. Raise it as a question, not an assertion. • The same divergence drives the JHB4 borrowing-cost analysis in Document 6 — see Table 21.

Table 12 — Section 23M: limitation of interest deductions

Legislation — what the Act says	Application to Axion — tax consequences
• Limits the deduction of interest on debt owed to a creditor in a controlling relationship with the debtor, where that creditor is not subject to South African tax on the interest. • The deduction is capped by reference to a percentage of adjusted taxable income; the excess is carried forward. • [NOT VERIFIED — read s23M and confirm the current percentage and the definition of a controlling relationship.]	• Live because of the funding options. Document 3 lists “investment from existing shareholders” as one of three funding routes, and Ubuntu (35%) and Horizon (30%) are the candidates — see Table 19. • [WAITING FOR INPUT]: the identity, tax residence and shareholding of any project lender; whether shareholder funding is used; the rate and quantum. • On the JHB4 facility the lenders are a syndicate of South African banks (Document 6), which are subject to SA tax and are not in a controlling relationship — so s23M does not restrict that interest. Consider it, then dismiss it with the reason. • If the funding is equity rather than debt, s23M falls away entirely — but so does the interest deduction. That trade-off belongs in the funding recommendation.

D. Disposal — recoupment and capital gains

Table 13 — Section 8(4)(a) recoupment, section 11(o), and CGT

Legislation — what the Act says	Application to Axion — tax consequences
• s8(4)(a) — recoupment. On disposal, amounts previously allowed as a deduction are recouped and included in income, to the extent proceeds exceed the tax value. The recoupment is capped at the allowances actually claimed and taxed as ordinary income at 27%, not as a capital gain. • s11(o) — scrapping allowance. Where an asset with a write-off period not exceeding 10 years is alienated, lost or destroyed for proceeds less than its tax value, the shortfall may be deducted. Election required. • Eighth Schedule — CGT. Proceeds less base cost. Base cost is reduced by allowances claimed. Any amount recouped under s8(4)(a) is excluded from proceeds for CGT, avoiding double taxation. • Company CGT: inclusion rate 80%, taxed at 27% → effective 21.6%. • s8(4)(nA) applies instead where s12BA was claimed — Table 2.	• When it bites: sale of generation plant, replacement of cooling or UPS equipment on an upgrade, or disposal of the undeveloped land (Table 20). • Example 1 — Project X plant sold below cost. Sold in FY2032 for R200m. Allowances fully claimed by FY2029, so tax value is nil. • Recoupment = lesser of (R200m – nil) and allowances of R450m = R200m into income · tax R54.0m. Proceeds are below cost, so no capital gain. • Example 2 — sold above cost, for R500m. • Recoupment capped at allowances claimed = R450m · tax R121.5m • Capital gain = R500m – R450m = R50m · × 80% = R40m · at 27% = R10.8m • Total tax on disposal R132.3m. The accelerated allowances were a deferral, not a permanent saving — the full R450m comes back. • s11(o) is unlikely to help. It needs a write-off period not exceeding 10 years. Plant written off over three years under s12B has no remaining tax value, and long-life infrastructure usually exceeds 10 years. Consider it, then rule it out with the reason. • [WAITING FOR INPUT]: proceeds, date of disposal, tax value, and which section the original allowance was claimed under — s12BA assets follow s8(4)(nA).

E. Who claims the allowance — the structuring question

The highest-value point on this trigger. Document 7 says direct investment would be made "potentially with an experienced technical partner", and the structure decides who gets the deduction.

Table 14 — Ownership, partnerships and project companies

Legislation — what the Act says	Application to Axion — tax consequences
• Four elements must sit in the same taxpayer. The allowance goes to the person who owns the asset, brings it into use, uses it in that person's own trade, and does so in the production of income. • s24H — partnerships. A partnership is transparent. Each partner is deemed to carry on the partnership trade and claims its proportionate share in its own return, against its own other income. • Company. A company that owns the plant claims in its own right; shareholders get nothing directly. • Instalment credit agreement purchaser is treated as owner. • Lessee does not own and cannot claim, unless s12N deems it owner of improvements on land it does not own. • Buyer of output has no asset and no allowance — only s11(a). • [NOT VERIFIED — read s24H and s12N before relying on the detail.]	• [WAITING FOR INPUT]: the legal form of the arrangement with the technical partner, and the participation percentages. • Comparison — Project X, FY2027 deductions of R250m (s12B R225m + s12U R25m): • Route A — Axion owns 100%. Deduction R250m. Taxable income R350m – R250m = R100m · tax R27.0m, against R94.5m with no project. Cash tax saved R67.5m. • Route B — 50/50 joint operation. Axion claims its 50% share = R125m. Taxable income R225m · tax R60.75m. Cash tax saved R33.75m. The partner claims the other half against its own income. • Route C — SPV, Axion buys the output. The SPV claims R250m against nil income → an assessed loss carried forward and constrained by s20. Axion claims no allowance, only s11(a) on the electricity bought. • The same R250m produces R67.5m, R33.75m or no allowance at all, purely on structure. That is the headline finding, and the sentence to lead with. • Cross-link. The same choice drives the IFRS 11 classification in trigger 8 — joint operation versus joint venture. The accounting test (rights to assets, obligations for liabilities) and the tax test (who owns and brings into use) are different tests and can point in opposite directions. A transparent structure is best for tax, but it also brings the project debt onto Axion's balance sheet, which is worst for gearing. Flag the tension; do not resolve it silently.

F. Using the deductions — assessed losses

Table 15 — Section 20: assessed losses

Legislation — what the Act says	Application to Axion — tax consequences
• s20(1)(a). A company may set off the balance of assessed loss brought forward only against the higher of R1 million or 80% of taxable income. • Applies to years of assessment ending on or after 31 March 2023. • Effect: a company with taxable income above R1m pays tax on at least 20% of it, however large the brought-forward loss. • The unused balance is carried forward, not lost. • The current-year loss is not restricted — the limitation applies to the balance brought forward.	• Axion itself is comfortable — for now. FY2026 profit before tax was R325m, and the FY2027 deduction of R250m in Route A leaves R100m of taxable income. No assessed loss arises and the benefit is realised in cash. • Test the downside. If Project X were larger, or if s13quin on JHB4 and s12L savings fell in the same year, total deductions could exceed taxable income. Do the arithmetic rather than assuming headroom. • Worked example — where s20 bites: the Route C SPV. Assessed loss of R250m carried into FY2028; taxable income of R60m in FY2028: • Set-off limited to the higher of R1m and $80\% \times R60m = R48m$ • Taxable income after set-off $R12m$ · tax at 27% = R3.24m • Assessed loss carried forward = $R250m - R48m = R202m$ • Even once the SPV is profitable it pays tax, and the R250m takes years to absorb. That is why the present value of the deduction in Route C is far below its nominal value.

G. Other taxes

Table 16 — VAT, dividends tax and carbon tax

Legislation — what the Act says	Application to Axion — tax consequences
• VAT — 15%. The supply of electricity is a standard-rated taxable supply — not zero-rated, not exempt. • Input tax on construction, plant and imported equipment is claimable to the extent acquired for making taxable supplies (s16(3) read with s17). • VAT on importation is payable and recoverable; customs duty is not.	• Input tax on the renewable plant, on PPA purchases from a VAT-registered producer, and on wheeling charges is fully claimable, because Axion makes taxable supplies. • Worked example. Project X plant of R450m excluding VAT → R67.5m of input tax claimable, improving project cash flow in the VAT period of acquisition. Show VAT as a timing benefit in the cash flow, not as a cost. • Imported equipment: VAT recoverable, but customs duty is a real cost and belongs in the project capital cost. [WAITING FOR INPUT]: whether equipment is imported, and the duty rate. • Axion's recharge of electricity to customers is also a taxable supply — see Table 20.
• Dividends tax — 20%. Withheld on dividends paid by a resident company to its shareholders. • Exemptions apply, most relevantly where the beneficial owner is a South African resident company, subject to the declaration and written undertaking being given before payment.	• Relevant here only on the Route C (SPV) structure, when the project company distributes profits up to Axion. • If both are SA resident, the dividend should be exempt provided the declaration and undertaking are in place. The exemption is procedural, not automatic. • Worked example. SPV distributes R50m. With the declaration: nil. Without it: R10m withheld. • Dividends tax on Axion's own shareholders is dealt with in Table 19.
• Carbon Tax Act 15 of 2019. Tax on greenhouse gas emissions from fuel combustion, industrial process and fugitive sources, where the taxpayer conducts an activity above the threshold for that activity. • Stationary combustion is measured by aggregated installed thermal capacity. • The tax falls on Scope 1 emissions. It does not fall on Scope 2 emissions from purchased electricity — the generator bears it. • [NOT VERIFIED — confirm the registration threshold and current rate.]	• Axion's Scope 1 exposure is its diesel backup generators (Document 7). Note that diesel is excluded from the electricity mix table — a place a question could easily hide. • [WAITING FOR INPUT]: aggregated installed thermal capacity of the generators across the five facilities, and whether Axion is registered. • The point most candidates will miss. Buying renewable electricity reduces Scope 2 emissions, which are not directly carbon taxed in South Africa. A renewable PPA or wheeling arrangement delivers a sustainability benefit but little or no carbon tax saving. Do not put one into the NPV without establishing that it exists. • Renewable generation also does not remove the generators — resilience infrastructure is still required — so the Scope 1 exposure remains either way.

H. The accounting consequence

Table 17 — IAS 12 deferred tax

Standard — what IAS 12 requires	Application to Axion — tax consequences
• A taxable temporary difference arises where the carrying amount of an asset exceeds its tax base, giving rise to a deferred tax liability. • Measured at the rate expected to apply when the difference reverses — 27% for companies. • Where total deductions exceed the cost of an asset, the excess is a permanent difference, not a temporary one. It affects the effective rate in the year claimed and creates no deferred tax. • [Paragraph references not verified — check the standard before citing one.]	• Worked example — Project X at 30 June 2027. Plant cost R450m, depreciated over 25 years; 2 months of use → R3m depreciation. • Carrying amount R447m · Tax base R450m – R225m = R225m • Taxable temporary difference R222m · deferred tax liability at 27% = R59.94m • The pattern to describe: the tax base falls to nil within three years while the asset is depreciated over 25. The deferred tax liability builds fast and unwinds slowly over two decades — material for a business already carrying R6 850m of liabilities. • The 125% permanent difference. On Asset Y, deductions of R22.5m exceed cost of R18m by R4.5m — a permanent difference that reduced the FY2025 effective rate by R1.215m of tax and never reverses.

I. The three routes side by side

All figures assumed. Project X: 30MW solar PV, plant R450m, roads and fences R25m, grid connection R60m, land R15m, brought into use 1 May 2027 (FY2027). Axion taxable income before the project R350m. Rate 27%.

Step 1 — Allocate the cost to the right section

Cost element	Amount	Section	FY2027 deduction
Plant and machinery	R450m	s12B at 50%	R225.0m
Roads and perimeter fencing	R25m	s12U at 100%	R25.0m
Grid connection / transmission	R60m	s12B, s13quin or s11(e) — depends what it is	R30.0m / R3.0m / R0.5m
Land	R15m	No allowance — base cost only	Nil
Total, excluding the grid connection	R550m		R250.0m

- **[WAITING FOR INPUT]:** the cost split. Until you have it, present the grid connection as a range with the reasoning. A range with reasons scores; a guess does not.

Step 2 — The tax effect under each structure

	Route A — Axion owns 100%	Route B — 50/50 joint operation	Route C — SPV owns, Axion buys output
Who claims	Axion	Axion 50%; partner 50%	The SPV
Axion's FY2027 deduction	R250.0m	R125.0m	No capital allowance — s11(a) on electricity only
Taxable income before project	R350.0m	R350.0m	R350.0m
Less: deduction	(R250.0m)	(R125.0m)	(R88.0m) — assumed PPA cost
Taxable income after	R100.0m	R225.0m	R262.0m
Tax at 27%	R27.00m	R60.75m	R70.74m
Tax if no project (R350m × 27%)	R94.50m	R94.50m	R94.50m
Cash tax saved in FY2027	R67.50m	R33.75m	R23.76m
Shape of the benefit	Front-loaded, exhausted after FY2029	Front-loaded, half the size	Level, for the life of the PPA
Where a loss sits	In Axion — usable against other income	In Axion, at 50%	Trapped in the SPV, constrained by s20

Step 3 — The three-year picture for Route A

	FY2027	FY2028	FY2029	Total
s12B at 50 / 30 / 20	R225.0m	R135.0m	R90.0m	R450.0m
s12U at 100%	R25.0m	—	—	R25.0m
Total deduction	R250.0m	R135.0m	R90.0m	R475.0m
Tax benefit at 27%	R67.50m	R36.45m	R24.30m	R128.25m

- **Say this to the board:** the R128.25m is a **timing** benefit. On disposal, s8(4)(a) recoups the allowances as ordinary income (Table 13). What the allowances deliver is the **present value of the deferral**, and that is what belongs in the post-tax NPV.
- **And this:** had the project been commissioned before 1 March 2025, s12BA would have given 125% of R450m = **R562.5m in FY2027 alone**, a first-year benefit of **R151.9m** against R67.5m. The expiry of s12BA has materially weakened the case for building rather than buying.

J. Answer structure for the day

	Step	What to write
1	Identify the transaction	One sentence: which route is proposed, and what is being acquired.
2	Identify who owns and who claims	Ownership, bringing into use, own trade, production of income — all four in the same taxpayer. State the consequence for Axion.
3	Work each cost element to its section	Plant → s12B. Roads and fences → s12U if above 5MW. Connection → s12B, s13quin or s11(e). Land → nothing. Do not lump them together.
4	Apply the rate and compute	Show the calculation. 50/30/20 or 100%. No apportionment. Give the rand deduction and the tax at 27%.
5	Check the timing	Date brought into use against 30 June. Quantify the effect of slipping past year end.
6	Check utilisation	Is there taxable income to absorb it? If not, s20 limits the carry-forward. Compute it.
7	Deal with disposal	s8(4)(a) recoupment capped at allowances claimed; CGT at 21.6% on any excess over cost. s8(4)(nA) if s12BA was claimed.
8	Cover the other taxes briefly	VAT input and output. Carbon tax falls on Scope 1, so a renewable PPA saves little or none. Dividends tax on the SPV route.
9	State what you need	Specific requests: capacity in MW, cost split, ownership structure, date brought into use, lender identity and residence.
10	Conclude	Recommend. If the numbers are close, say so and decide on judgement — but reach a conclusion. An unconcluded analysis is an incomplete task.

Five things that will cost you the task.

- **Claiming s12BA.** It expired on 28 February 2025. Say it has expired.
- **Putting the transmission line into s12U.** s12U is roads and fences only.
- **Assuming Axion gets the allowance.** If the plant sits in an SPV or the partner owns it, Axion gets nothing but s11(a).
- **Apportioning s12B for part of a year.** It is not apportioned. s11(e) is.
- **Putting a carbon tax saving into the NPV.** Carbon tax falls on Scope 1; a renewable PPA cuts Scope 2.

K. Tax consequences arising from the other pre-release documents

Sections A to J deal with Document 7. Everything below arises from a different document in the pre-release. Documents 1 and 2 are introductory and raise no separate tax consequence, beyond the point that Axion is a South African resident company and is therefore taxed on its worldwide income.

Table 18 — Document 3: board strategy day — R3–5bn capex, funding, African expansion

Legislation — what the Act says	Application to Axion — tax consequences
s11(a), s24J — interest. Interest on borrowings is deductible where incurred in the production of income and not of a capital nature, accrued on a yield-to-maturity basis. s23M limits interest owed to a connected creditor not subject to SA tax (Table 12). s24I — foreign exchange. Exchange differences on a foreign currency debt or forward contract are included in or deducted from income as they arise, whether or not realised. s9D — controlled foreign companies. Net income of a CFC (more than 50% of participation or voting rights held by SA residents) is imputed to the SA shareholder, subject to exemptions including the foreign business establishment exemption. s6quat grants a credit for foreign taxes on foreign-sourced income, limited to the SA tax on that income. s31 — transfer pricing. Cross-border transactions between connected persons must be on arm's length terms; the difference is adjusted and may be treated as a deemed dividend. Dividends tax 20%, subject to treaty relief for non-resident shareholders. [NOT VERIFIED — read s9D, s6quat, s31 and s24I before relying on the detail.]	The feasibility model is the biggest tax point in this document. Document 3 defines initial feasibility using “incremental pre-tax cash flows” and a “pre-tax project NPV”. Capital allowances are a cash flow, and on Project X alone they are worth R128.25m over three years. A pre-tax NPV is acceptable as an initial screen, but the final decision stage must be post-tax, or the whole of Section A is ignored in the decision. - The same applies to the discount rate: the cost of debt must be taken after tax at $k(d) \times (1 - 27\%)$. Using a pre-tax NPV with an after-tax WACC, or the reverse, double counts or omits the shield. The three funding options have different tax outcomes: Additional debt → interest deductible under s24J. On R1bn at 11%, that is R110m a year, worth R29.7m of tax. Check s23M only if the lender is connected and not subject to SA tax. Investment from existing shareholders → if equity, no deduction, and distributions carry dividends tax. If shareholder loans, the interest is deductible but s23M and s31 must both be considered — Ubuntu holds 35% and Horizon 30%. A new strategic investor → if non-resident, dividends tax at 20% subject to treaty relief, and s31 applies to any funding it provides. “Selected African markets” (Document 3, page 7) opens the cross-border set. If Axion invests through foreign subsidiaries: s9D may impute the CFC's net income to Axion; s6quat credits foreign tax; foreign withholding taxes apply to dividends, interest and management fees; and s31 governs intragroup funding and fees. [WAITING FOR INPUT]: whether expansion is by subsidiary, branch or joint venture, and in which countries. s24I is likely live even without offshore expansion. Data centre plant is typically imported. Foreign currency payables and any hedges give rise to exchange differences taxed or deducted as they arise, creating volatility in taxable income that does not track accounting profit.

Table 19 — Document 4: ownership, the Employee & Empowerment Trust, and a new investor

Legislation — what the Act says	Application to Axion — tax consequences
s8C — equity instruments acquired by virtue of employment. A gain on the vesting of a restricted equity instrument acquired by reason of employment is included in the employee's income — taxed at marginal rates, not as a capital gain. Vesting occurs when the restrictions lift. - Dividends on a restricted equity instrument may be taxed as income rather than qualifying for the s10(1)(k)(i) exemption, under the provisos to that section. s11(IA) allows the employer a deduction for shares provided to employees under a broad-based or qualifying scheme. s25B / the conduit principle. Amounts vested in a trust beneficiary are taxed in the beneficiary's hands; amounts retained are taxed in the trust. s64F(1)(a) exempts dividends tax where the beneficial owner is a South African resident	The Axion Employee & Empowerment Trust (10%) is the tax trigger in this document. [WAITING FOR INPUT]: the scheme rules — are the shares restricted, when do they vest, who are the beneficiaries, and is the trust vesting or discretionary? - If the shares were acquired by virtue of employment and are restricted, s8C applies on vesting: the gain is taxed as income in the employees' hands, and Axion carries PAYE withholding and IRP5 obligations at that point. This is a payroll and cash-flow event for Axion, not just a shareholder matter. Worked example. Assume the trust holds shares with a base value of R80m that vest at a market value of R200m. The R120m gain is included in the participating employees' income under s8C — at a 45% marginal rate that is R54m of employees' tax, which Axion must withhold and pay over. A growth story that increases the value of Axion also increases this liability. Dividends tax on the current register — the outcome differs by shareholder: Ubuntu Infrastructure (Pty) Ltd, 35% → SA resident company → exempt under s64F, with the declaration and undertaking.

Legislation — what the Act says	Application to Axion — tax consequences
company, subject to the declaration and undertaking. • s103(2) permits SARS to disallow the set-off of an assessed loss where a change of shareholding was effected solely or mainly to utilise that loss. • [NOT VERIFIED — read s8C, s11(IA), s25B and s103(2) before relying on the detail.]	• Kabelo Moleke 18% and David Low 7% → individuals → 20% dividends tax withheld. On a R100m distribution that is R5m and R1.4m respectively. • Horizon Digital Infrastructure Fund, 30% → [WAITING FOR INPUT]: its legal form and tax residence. A non-resident may claim treaty relief; a partnership or CIS flows through to its investors. Do not assume it is exempt. • Employee & Empowerment Trust, 10% → the treatment depends on the trust deed and the s8C status of the shares. Dividends on restricted equity instruments may be taxed as income rather than exempt. • If a new strategic investor acquires an interest (Document 3): the share issue proceeds are capital, not gross income, and the issue costs are not deductible. Where the investor takes control of an entity carrying an assessed loss — most likely a project SPV under Route C — s103(2) becomes relevant, and commercial substance for the transaction must be documented.

Table 20 — Document 5: Metroloop, the undeveloped land, and the revenue streams

Legislation — what the Act says	Application to Axion — tax consequences
• Gross income (s1). Amounts received by or accrued to a resident, other than of a capital nature. Accrual arises when the taxpayer becomes unconditionally entitled to the amount. • s10(1)(k)(i) exempts dividends received from a South African resident company. • s24C allows a deduction for future expenditure to be incurred under a contract, where the income under that contract has already been received and the expenditure will be financed from it. The allowance is reversed in the following year. • s22(3)(a)(ii) — where a capital asset is applied as trading stock, it is brought into trading stock at market value. • Paragraph 12(2)(c), Eighth Schedule — a change of intention from capital asset to trading stock is a deemed disposal at market value, crystallising a capital gain to that date. Gains after that date are revenue. • s11(a) read with s23(g) — no deduction for expenditure not incurred in the production of income or not laid out for trade purposes. • Equity-accounted earnings are not gross income — only dividends actually received or accrued are. • [NOT VERIFIED — read s24C, s22(3) and paragraph 12(2) before relying on the detail.]	• Metroloop (Pty) Ltd — 40%, equity accounted. The share of profit recognised in Axion's accounts is not taxable; only dividends from Metroloop are, and as a dividend from an SA resident company it is exempt under s10(1)(k)(i). • So equity-accounted earnings are a permanent difference and a reconciling item in the IAS 12 effective tax rate note — they raise accounting profit without raising the tax charge. On disposal of the 40% interest, CGT at 21.6% applies on proceeds less base cost. • The undeveloped land is the sharpest point in this document, and the CFO has already flagged its accounting implications. The tax answer turns entirely on what management decides to do with it: • Held for Axion's own future data centre → remains a capital asset. No allowance on the land, ever. Any building later erected on it attracts s13quin at 5%. • Sold as it stands → CGT at 21.6% on proceeds less base cost. • Developed for resale, or subdivided and sold → a change of intention. Under paragraph 12(2)(c) there is a deemed disposal at market value on the date intention changes, crystallising the capital gain to that date at 21.6%; the land comes into trading stock at that market value under s22(3)(a)(ii); and all subsequent profit is revenue, taxed at 27%. • Worked example. Land with a base cost of R40m and a market value of R110m on the date plans change. Deemed disposal → gain $R70m \times 80\% \times 27\% = \text{R}15.12m$ of CGT, payable although nothing has been sold. If it is later sold for R150m, the further R40m is revenue, taxed at 27% = R10.8m. Total R25.92m, against R23.76m had it simply been sold as a capital asset — and the CGT falls due far earlier. The decision about the site is a tax decision, not only an accounting one. • Holding costs while the site is undeveloped — rates, security, maintenance — are not deductible under s11(a) read with s23(g), because no trade is carried on in respect of the land and no income is produced from it. [WAITING FOR INPUT]: whether any costs have been claimed to date. • The revenue streams (colocation, power recharge, interconnection, ancillary) are gross income as Axion becomes unconditionally entitled. Contracts are invoiced monthly and Axion provides no customer financing, so accrual is straightforward and no s24J timing issue arises on receivables. • The power recharge is consideration for a standard-rated supply → output VAT at 15%, with input tax on the electricity purchased claimable in the same period.

Legislation — what the Act says	Application to Axion — tax consequences
	• Contracted capacity (40MW) exceeds utilised capacity (35MW) — customers contract before they use. Where a customer pays in advance or a take-or-pay minimum is billed ahead of use, the amount is gross income on receipt, even though the service has not been rendered. s24C may then allow a deduction for the future expenditure Axion must still incur under that contract. [WAITING FOR INPUT]: the billing terms on contracted-but-unutilised capacity. • Borrowings grew from R3 150m to R4 850m and finance costs to R375m. Deductible under s24J. s23M is not in point for the SA bank syndicate — see Table 12.

Table 21 — Document 6: JHB4 project funding and delivery

Legislation — what the Act says	Application to Axion — tax consequences
• s11A — pre-trade expenditure. Expenditure incurred before the commencement of a trade, which would have been deductible had the trade been carried on, is deductible in the year that trade commences, and only against income from that trade. The excess is carried forward. • s24J — interest accrues and is deductible as incurred; interest received or accrued is included in income on the same basis. • Interest income and interest expense are not netted for tax. Each is tested separately: income is included in gross income, expenditure must satisfy s11(a). • s13quin — 5% a year, but only once the building is used by the taxpayer. • s11(e) — wear and tear on the plant inside the facility, apportioned, per IN47. • VAT s16(3) / s17 — input tax is claimable on goods and services acquired for the purpose of making taxable supplies, whether or not supplies have yet been made. • [NOT VERIFIED — read s11A and confirm its interaction with an existing trade before relying on it.]	• The central judgement: is JHB4 a new trade, or an expansion of the existing one? Axion already operates five data centres. If JHB4 is an expansion of the same trade, expenditure and interest are deductible as incurred, against all of Axion's income. If it is treated as a separate trade, s11A defers the deduction to the year JHB4 commences trading and ring-fences it against JHB4's own income. The difference is years of cash tax. Raise it as the question it is, and argue the expansion view on the facts — same customers, same services, same management. • The interest asymmetry is the sharp technical point in this document. Undeployed drawdowns sit on short-term deposit. That deposit interest is gross income, taxable in full as it accrues. The facility interest is a deduction that may be deferred under s11A. So Axion can be taxed on the income while the matching expense waits — the opposite of the accounting treatment. • The scorecard measure makes this concrete. “Net interest not capitalised” is defined as interest expense not capitalised less interest income on drawn but undeployed funds. For tax these are never netted. Do not read the scorecard figure as a taxable amount. • Worked example. Assume R400m drawn ahead of requirement for 6 months, deposit rate 7%, facility rate 10.5%. • Deposit interest earned = $R400m \times 7\% \times 6/12 = R14.0m$ — taxable in full, tax R3.78m • Facility interest on that R400m = $R400m \times 10.5\% \times 6/12 = R21.0m$ — deductible, or deferred under s11A • Net economic cost R7.0m; but if the deduction is deferred, Axion pays R3.78m of tax now on the income side alone. Drawing ahead of requirement costs more after tax than the R7.0m the scorecard shows. That strengthens the commercial case for drawdown discipline — a tax argument supporting an operational control. • IAS 23 against tax. For accounting, borrowing costs are capitalised into JHB4 (net of investment income on the temporary investment of those funds). For tax, the interest is deducted or deferred and the deposit interest is taxed currently. The two bases diverge → a temporary difference and deferred tax (Table 17). • s13quin on the building. JHB4 is new and unused, so 5% a year once it is used in Axion's trade. But Document 6 says it will be brought into service in phases as customer capacity is contracted, and s13quin requires use. [WAITING FOR INPUT]: the phasing plan, and whether the phases are physically distinct parts of the building — the allowance may begin phase by phase rather than on the whole building at first use. • The grid connection timing “remains critical” (Document 6). For tax that is not just a delivery risk: no allowance arises at all until the asset is brought into use. A slip past 30 June moves an entire year's deduction. • VAT is a real cash item on a R1.2bn facility. Input tax on construction is claimable now, even though JHB4 makes no supplies yet, because it is acquired for the purpose of making taxable supplies.

Legislation — what the Act says	Application to Axion — tax consequences
	At 15% on, say, R1bn of construction spend, that is R150m of input tax — a funding consideration for the drawdown profile in its own right. • s23M does not apply to this facility — the lenders are a syndicate of South African banks, subject to SA tax and not in a controlling relationship with Axion.

L. Verification status

Item	Status	Source
s12B, s12BA and its expiry, s12U, s12L to 2030, s20, s12C, s13quin	Verified	Practitioner commentary; SARS Guide IT39, IN 95
s8(4)(nA) recoupment and the 1 March 2026 date	Verified	Practitioner commentary
Corporate 27%, dividends tax 20%, CGT inclusion 80% (effective 21.6%), VAT 15%	Verified — unchanged in the February 2026 Budget	Practitioner commentary
s23M percentage and controlling relationship; s24H; s12N; s11(o) detail	Read the sections	—
s11A pre-trade expenditure and its interaction with an existing trade	Read the section — central to Table 21	—
s8C, s11(lA), s25B, s103(2)	Read the sections — Table 19	—
s24C, s22(3)(a)(ii), paragraph 12(2)(c) Eighth Schedule	Read the sections — Table 20	—
s9D, s6quat, s31, s24l	Read the sections — Table 18	—
Carbon tax threshold and rate; IN 47 write-off periods; IAS 12 paragraph references	Look them up before citing	—

- **Read the source the CFO pointed you at** — the SARS **Guide on the Allowances and Deductions Relating to Assets Used in the Generation of Electricity**, publication **IT39**.
- **Every rand figure in this document is assumed.** The pre-release gives no capacity, cost, counterparty or structure for any renewable option. The examples exist so the method is fluent; the figures arrive on the day.

Prepared for APC 2026 September Qualifying Exam preparation. Axion Digital Infrastructure (Pty) Ltd is a fictitious entity created for assessment purposes.